

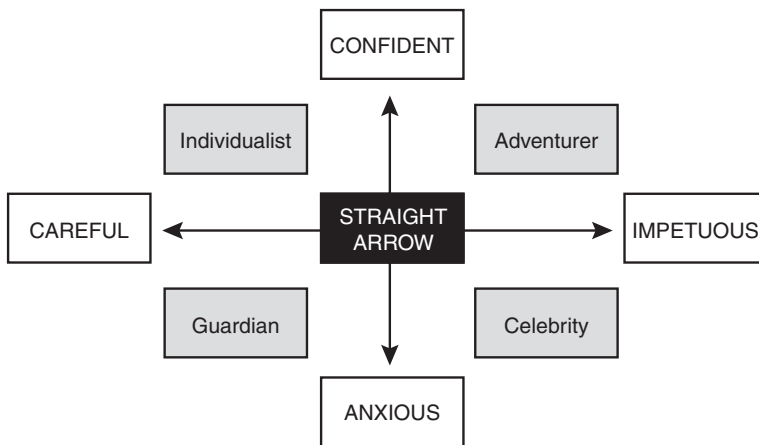


FIGURE 2.5 BB&K Five-Way Model: Graphic Representation

Source: Thomas Bailard, David Biehl, and Ronald Kaiser. *Personal Money Management*, 5th ed. (Chicago: Science Research Associates, 1986).

choices, and they are dictated by how confident the investor is about some things or how much he tends to worry about them. The second element deals with whether the investor is methodical, careful, and analytical in his approach to life or whether he is emotional, intuitive, and impetuous. These two elements can be thought of as two “axes” of individual psychology; one axis is called “confident-anxious” and the other is called the “careful-impetuous” axis.¹⁸

The following inset includes BB&K’s descriptions of each of the five investor personality types that the model generates. The authors also suggest approaches to advising each type of client.¹⁹

In the past five to ten years, there have been some new and exciting developments in the practical application of BFMI. Specifically, there is some very thoughtful work being done in the field of brain research that is attempting to demonstrate how the brain works when making financial decisions. Additionally, research is also conducted on how various personality types behave when it comes to making financial decisions. Later in this book, a chapter is devoted to each of several of these new, exciting topics. For now, however, basic strategies for incorporating behavioral finance into the asset allocation decision are introduced in Chapter 3.